Hollowell Patent Group PLLC

www.hollowellpatent.com

March 4, 2025

Privileged and Confidential

Tiffany Munoz
Chief Financial Officer
Price-Henson

Re: Patent diligence for a proposed license

Dear Ms. Munoz:

You have asked Hollowell Patent Group PLLC to review, on behalf of Price-Henson, a patent portfolio that the company is considering licensing from a third party, and to report to you before the company commits to the license. This letter records the scope of the review, the people who will carry it out, the fee, and the terms on which we will act, and it becomes our agreement when you countersign it.

The Review We Will Perform

The review covers the patents and published applications listed on the patent schedule to the draft license agreement you sent us (the "Licensed Patents"). We will carry it out in the following parts, roughly in this order:

- Confirming record title to each Licensed Patent by tracing its assignments from the named inventors to the licensor, and noting any recorded security interest, lien, or break in the chain.
- Confirming that each issued Licensed Patent is in force, that its maintenance fees have been paid when due, and whether a terminal disclaimer ties its term or its enforceability to another patent.
- Reading the prosecution history of each Licensed Patent for amendments and arguments that narrow the scope its claims can fairly be given.
- Comparing the independent claims with the products Price-Henson identifies as the products the license is meant to cover, and reporting which claims appear to read on those products, which do not, and which cannot be assessed on the information available.
- Identifying, from the public record and from what the licensor discloses, any existing license, covenant, or government-funding interest that would limit the rights granted to the company.

- Reviewing the patent provisions of the draft license, including its definition of the Licensed Patents, its field of use, and its allocation of responsibility for maintenance and enforcement.

We will report our findings in a written memorandum, marked privileged and confidential and addressed to you. Where the record does not support a firm conclusion on a point, the memorandum will say so and will state what further information would be needed to reach one.

Exclusions

This engagement does not include a formal opinion on the validity or enforceability of any Licensed Patent, a freedom-to-operate analysis of patents held by anyone other than the licensor, negotiation of the commercial terms of the license, or advice on tax, antitrust, or corporate matters. Foreign counterparts of the Licensed Patents, if there are any, will be reviewed only from the public record, and we will not instruct foreign counsel without your written approval of a separate estimate.

If the licensor adds patents to the schedule, or if you ask us to take on any of the excluded matters, we will confirm the added work and its fee in writing before we begin it.

Parties Checked for Conflicts

We have searched our records for Price-Henson, the licensor, and the affiliates of the licensor named in the draft license, and we found no relationship that would prevent us from acting for you. If a conflict comes to light during the engagement, we will tell you promptly, and if it cannot be resolved with the informed consent of everyone affected, we may have to withdraw.

Engagement Team

I will be responsible for this engagement, I will sign the memorandum, and the conclusions it states will be mine. Richard Henderson will lead the review of the mechanical and device claims, and David Chang will lead the review of the electrical and embedded-control claims; both are patent agents.

Patent agents are registered to practice before the United States Patent and Trademark Office but are not attorneys, so neither of them will give you a legal conclusion directly. We will take instructions on this matter from you, unless you tell us in writing to take them from someone else at Price-Henson.

Fixed Fee and Effective Date

We will perform the work described above for a fixed fee of $41,000, which covers the review, the memorandum, and one discussion of the memorandum with you and anyone else you choose to include from the company. The engagement takes effect on March 14, 2025, and we expect it to

run about six months, depending mainly on how quickly the licensor and your engineering staff answer our requests for documents.

Invoicing, Expenses, and Late Payment

We will invoice the fixed fee in equal monthly installments over the expected term of the engagement, and each invoice is payable on receipt. Out-of-pocket costs, including charges for certified copies, assignment record searches, and any foreign associate you approve, are not part of the fee and will be billed at cost with the supporting detail attached.

If an invoice is not paid when due, we will tell you so in writing. If it remains unpaid after that notice, we may suspend work until it is paid or withdraw from the engagement, in either case subject to our professional obligations.

Ending the Engagement

The engagement ends when we have delivered the memorandum and held the discussion described above, unless one of us ends it earlier by written notice, which either of us may give at any time. If it ends before the memorandum is delivered, we will charge for the work performed to that point at our standard hourly rates, and the total will not exceed the fixed fee.

After the engagement ends we have no continuing duty to monitor the Licensed Patents or to docket their maintenance deadlines, and we will do neither unless Price-Henson engages us separately for that purpose.

Confidential Materials and Privilege

We will keep confidential everything that you and the licensor provide to us, and we will handle the licensor's materials in accordance with any confidentiality agreement between the licensor and Price-Henson, a copy of which we ask you to send us before documents are exchanged. Our memorandum and working papers are privileged, and to protect that privilege we recommend that you share them only with those at the company who need them to decide on the license, and never with the licensor or its counsel.

Reliance and Responsibility

Our conclusions will be professional judgments based on the record available to us, and we cannot guarantee that a court or the Patent Office will construe a claim, or assess the validity of a patent, as we do. We will rely on the documents supplied by the licensor and by Price-Henson without verifying them independently, except where the public record allows a check, and the memorandum will identify each point on which we have relied on such a document alone.

This letter does not limit our liability for our own professional negligence. You are free to have independent counsel review these terms before you sign them.

Choice of Law and Forum

This letter and the engagement it describes are governed by the law of the state in which our office is located, without regard to that state's conflict-of-laws rules. Any dispute about our work or our fees that we cannot resolve between ourselves will be brought in the state or federal courts sitting in that state.

Countersignature

If these terms are acceptable, please sign below on behalf of Price-Henson and return a copy to me. The matter will be opened on our docket the day your signed copy arrives, and David Chang will then send you our first request for documents.

Sincerely,

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Mary Bradley
Managing Partner
Date: March 4, 2025

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Tiffany Munoz
Chief Financial Officer, Price-Henson
Date: March 4, 2025